IOWN

The Morning Brief

MARCH 29, 2026

New Front

Houthis enter the Iran war, raising the specter of a third chokepoint closure as Monday approaches. Weekend Edition.

S&P 500 (FRI CLOSE)	BRENT CRUDE (FRI CLOSE)	BITCOIN (LIVE)	UMICH SENTIMENT (FINAL)	FEAR & GREED
6,369 ↓2.1% on the week	**$113 ↑ Highest since July 2022**	**~$66,600 · Below 200-day MA**	**53.3 · Inflation exp. 3.8%**	**13 · Extreme Fear**

SECTION 01

Markets — Weekend Edition

THE MACRO DATA IS CATCHING UP TO THE GEOPOLITICAL REALITY

Goldman Sachs raised US recession probability to 30% from 25% this week, citing the oil shock's expected drag of 0.4% on global GDP growth and approximately 1% added to headline inflation. Friday's final University of Michigan consumer sentiment reading confirmed the damage: the headline index fell to 53.3, its lowest level of 2026 and well below February's 56.6, while short-term inflation expectations jumped to 3.8%. The war is now feeding through to domestic confidence data. The question for Monday is whether the Houthi entry into the conflict — a material escalation that occurred after Friday's close — triggers another leg lower or whether the market has already incorporated a conflict of this scope.

S&P 500	**6,369 · ↓2.1% on the week**
RECESSION ODDS	**30% (Goldman Sachs, up from 25%)**
UMICH SENTIMENT	**53.3 · Lowest of 2026 · Inflation exp. 3.8%**
BRENT CRUDE	**$113 · WTI near $100**
VIX	**~31 · Elevated since mid-March**

A DATA-HEAVY WEEK AHEAD — SHORTENED BY GOOD FRIDAY

The coming week delivers three readings that could crystallize the stagflation narrative. Consumer Confidence arrives Tuesday; the prior reading of 91.2 in February already reflected deteriorating conditions. ISM Manufacturing follows Wednesday — February's reading of 52.4 was expansionary, but the prices-paid subindex at 70.5 signaled the most intense cost pressure since June 2022. March nonfarm payrolls will be released Friday, April 3 at 8:30 AM ET per the BLS schedule — while markets are closed for Good Friday. The reaction will be deferred entirely to the Monday, April 6 open, which is also when Trump's energy strike deadline expires. February payrolls contracted by 92,000 jobs. If March confirms further labor market weak-

ness alongside persistent price pressure, two major catalysts — the jobs data and the geopolitical deadline — converge on the same Monday morning. For IOWN, cash-generative dividend names and energy-linked revenues remain the structural anchors in this environment.

The Houthis have opened a new front. The macro data is deteriorating. The April 6 deadline is eight days away. The portfolio was built for the possibility that all three converge at once. Think Like an Owner.

Geopolitics

HOUTHIS ENTER THE WAR — THE THIRD CHOKEPOINT THREAT

Yemen's Houthi movement fired ballistic missiles at southern Israel on Saturday, marking the group's formal entry into the month-old conflict. The IDF reported intercepting the projectiles, and a second launch targeted Eilat. The immediate military impact appears limited — Israel's air defenses have historically managed Houthi missile threats — but the strategic implications could be significant. The Houthis have not yet moved to close the Bab el-Mandeb Strait, the 16-mile-wide Red Sea chokepoint through which approximately 10% of global seaborne oil passes. This distinction matters because Saudi Arabia has been routing additional oil shipments through the Red Sea specifically to bypass the Hormuz closure. If the Houthis escalate from missile strikes on Israel to maritime interdiction — a capability they demonstrated extensively in 2024 — the last major alternative route for Gulf oil is eliminated. The resulting scenario, in which Hormuz, the Suez alternative, and Bab el-Mandeb are all simultaneously disrupted, would have no clear modern precedent. For IOWN, MATX is directly exposed to global shipping disruption, while CVX, VLO, and OKE could benefit from further supply tightening.

DAY 29 — THE CONFLICT WIDENS AND CASUALTIES MOUNT

The war's toll continues to accelerate. Iran fired six ballistic missiles and 29 drones at Prince Sultan Air Base in Saudi Arabia on Friday, according to NPR, wounding at least 15 US service members — including at least five in serious condition — and reportedly destroying a US Air Force E-3 Sentry AWACS aircraft. Total US casualties since February 28 have reached 13 killed and over 300 wounded, according to CENTCOM. The IDF launched a widespread wave of strikes against Iranian government infrastructure in Tehran overnight Saturday into Sunday, according to CNN, while Israel struck the Bushehr nuclear plant for the third time in ten days. Air raid sirens were activated across Bahrain and Kuwait early Sunday morning. The IRGC has issued an ultimatum demanding the US condemn strikes on Iranian academic institutions by March 30, threatening to expand attacks to additional civilian infrastructure. The 31st Marine Expeditionary Unit and USS Tripoli arrived in theater over the weekend, with speculation mounting around a potential operation against Kharg Island. GD and LMT, IOWN's defense holdings, continue to benefit from the fiscal trajectory of an extended and widening engagement.

THE APRIL 6 DEADLINE AND THE NARROWING WINDOW FOR DIPLOMACY

Pakistan is hosting a diplomatic summit starting Monday, March 30, bringing together foreign ministers from Saudi Arabia, Turkey, and Egypt alongside special envoy Steve Witkoff. Iran's position remains unchanged: Foreign Minister Araghchi maintains that no direct negotiations have occurred and none are planned. The gap between the two sides — Iran's demands for reparations, Hormuz sovereignty, and a halt to assassinations versus Washington's requirements for denuclearization and waterway reopening — shows no sign of narrowing, even as overnight strikes on Tehran suggest the conflict is intensifying rather than approaching resolution. The April 6 deadline, when Trump's pause on energy infrastructure strikes expires, is eight days away. BCA Research estimates that lost global oil supply from the conflict could double by mid-April as strategic reserves are depleted,

> meaning the strike deadline and the reserve exhaustion window may converge within the same week. OPEC+ has confirmed no plans to increase output before Q3 2026. If April 6 passes without a framework and reserves run dry days later, there may be no policy lever remaining to contain the energy shock.

HOUTHIS	**Entered war March 28 · Bab el-Mandeb threat unresolved**
US CASUALTIES (1 MONTH)	**13 KIA (CENTCOM) · ~300+ wounded · 15 wounded Friday**
OVERNIGHT	**IDF struck Tehran · Bushehr hit 3rd time · Sirens in Bahrain/Kuwait**
APRIL 6 DEADLINE	**8 days · Energy strikes resume if no deal**
SUPPLY LOSS	**~5M bpd · BCA warns could double by mid-April**

SECTION 03

On Our Radar

1. Week Ahead: Consumer Confidence, ISM, Payrolls — and a Loaded Monday. Tuesday brings the Conference Board Consumer Confidence index; February's 91.2 reading already reflected deteriorating conditions, and the University of Michigan's final March sentiment reading of 53.3 suggests further weakness. Wednesday delivers ISM Manufacturing and JOLTS job openings. Nike reports after Wednesday's close — consensus expects EPS near $0.28, a direct read on consumer demand in the war environment. March nonfarm payrolls will be released Friday, April 3 at 8:30 AM ET — while markets are closed for Good Friday. The market reaction will be deferred entirely to the Monday, April 6 open, which is also when Trump's energy strike deadline expires. Two major catalysts converge on that single Monday morning. Research Reveals Opportunities.

2. Bab el-Mandeb is the new variable for oil markets. The Houthis' decision to fire missiles at Israel rather than close the Red Sea strait is, for now, the less economically disruptive option. But the capability is proven: throughout 2024, Houthi maritime operations effectively diverted most commercial shipping from the Red Sea. Saudi Arabia has specifically increased Red Sea oil shipments to compensate for the Hormuz closure. If the Houthis escalate from missile strikes to maritime interdiction, the bypass route is eliminated. BCA Research estimates that lost supply from the conflict — currently approximately 5 million barrels per day — could double by mid-April as strategic reserves are exhausted. The energy sleeve is positioned for this tail scenario. Avoid Erosion.

3. Goldman Sachs raises US recession probability to 30%. Chief economist Jan Hatzius noted that the oil price shock is expected to add approximately 1% to global headline inflation while subtracting 0.4% from GDP growth. This is the most prominent recession call from a major bank since the conflict began and follows Friday's consumer sentiment collapse. For IOWN, the recession signal reinforces the case for the dividend sleeve's cash-generative holdings — names like ADP, FAST, and SYK that have historically held up well through economic downturns — and the energy sleeve's inflation-linked revenues. Simplicity Over Complexity.

4. Bitcoin consolidates near $66,600 despite Saturday's escalation. BTC is roughly flat over the weekend, holding below the 200-day moving average near $69,200. Ethereum is near $2,000. The crypto market's relative stability amid the Houthi escalation may reflect the structural buffer provided by institutional ETF flows — Bitcoin ETFs have absorbed over $2 billion in net inflows recently even as gold ETFs saw outflows, according to Benzinga. Morgan Stanley's MSBT launch remains imminent. The digital asset sleeve is consolidating rather than capitulating. Think Like an Owner.

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